and reserves being ₹1.25 crores, and their total deposits ₹8 crores.[10] The most important among them were the Allahabad Bank, the Alliance Bank of Simla, the Oudh Commercial Bank, and the Punjab National Bank. The first two were established in 1865 and 1875 respectively, both under European management. The Oudh Commercial Bank, established in 1881, was the first bank on limited liability to be managed by Indians. It was followed in 1894 by the Punjab National Bank. Indian joint-stock banks which were hardly in evidence between 1860–80, gained momentum during the next decade and by the closing decade of the nineteenth century had made a substantial gain of more than ₹5 crores in their deposits. In comparison, the deposits of the exchange banks grew only by ₹3 crores, and those of the Presidency Banks declined by ₹2.5 crores. The Allahabad Bank alone recorded a growth of ₹1.5 crores in deposits.[11]

The Swadeshi movement that began in 1906 gave much stimulus to banking. In the period between 1906–13, the number of banks with capital and reserves of over ₹5 lakhs increased from nine to eighteen, with a total paid-up capital and reserves of ₹4 crores and total deposits of ₹22 crore. An even greater number of smaller banks were established during this period. Some of the biggest names in banking came into being at this time. These included the Bank of India, the Central Bank of India, the Bank of Baroda, and the Bank of Mysore. Other large Indian banks that were launched during this period but failed subsequently were: the Indian Specie Bank, the Credit Bank of India, the Bombay Merchants' Bank, the Standard Bank of Bombay, and the Bank of Upper India.

This boom was followed by a banking crisis during 1913–17, during which eighty-seven banks failed with a total paid-up capital of over ₹1.75 crore. While many of these banks were small, about six were large. These failures greatly weakened public confidence and resulted in a considerable setback to the development of banking in India.[12] The main causes of the crisis were deficiency of capital[13] and dishonest and incapable Directors who often resorted to fraud or criminal mismanagement which was allowed to proceed unchecked by conniving auditors. These shortcomings applied chiefly to the smaller banks which had mushroomed after 1904. Some of the bigger banks conducted their business on sound lines and survived the crisis without untoward consequences. One such bank was the Central Bank of India which is discussed in Book I.